



AN ACT MODIFYING THE USE OF CASH BASIS FOR COMPETITIVE BIDDING FOR STATE LAND AGRICULTURAL LEASES; AND AMENDING SECTIONS 77-6-203, 77-6-501, AND 77-6-506, MCA."

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

Section 1. Section 77-6-203, MCA, is amended to read:

"77-6-203. Bid deposit. (1) A person bidding for the lease of state lands shall deposit with the department, as evidence of good faith, a certified check, cashier's check, or money order in an amount equal to 100% of the annual rental bid in the case of grazing land and an amount equal to \$20 per acre for each acre of agricultural land contained in the lease in the case of agricultural land ~~on which the bid is made on a crop share basis.~~

(2) The department shall retain the deposit of the successful bidder, apply it on the rental for the first year of the lease only, and return any balance of the deposit at the end of the first year to the successful bidder. The department shall return the deposits of the unsuccessful bona fide bidders. If the department finds a bid has been submitted that is frivolous, forged, or a bad faith bid or a bid submitted for purposes of harassment, the deposit is forfeited. The department shall make a reasonable attempt to notify the bidder in writing of the forfeiture and ~~the reasons therefor~~ for it.

(3) If the successful bidder fails to execute the lease for any reason, the deposit is forfeited.

(4) The department shall credit all forfeited deposits to the interest and income account of the proper trust."

Section 2. Section 77-6-501, MCA, is amended to read:

"77-6-501. Agricultural leases. (1) For agricultural land, all leases except lease renewals ~~upon on~~ which the lessee has made improvements at the lessee's expense, as provided in subsection (3), and except

leases issued after competitive bidding pursuant to 77-6-202 or 77-6-205, as provided in subsection (4), must be continued or made ~~upon~~ on a crop share rental basis of not less than one-fourth of the annual crops to the state or the usual landlord's share prevailing in the district, whichever is greater. The board may, however, approve special crop share rentals of less than one-fourth for high production cost crops, such as but not limited to potatoes and sugar beets, or for high production cost methods when these methods would result in more income to the state. The board may not delegate the authority to approve special crop share rentals.

(2) Except in the case of cash lease renewals under subsection (3), if it is in the best interests of the state, the department may authorize a lease ~~upon~~ on other bases than crop share, but in these cases, the rental must at least equal the value of the usual landlord's share prevailing in the district under similar circumstances, and the department shall set forth in the records the conditions of the case and the rental to be charged.

(3) Subject to 77-1-134, in a case in which the lessee has made substantial improvements for irrigation purposes to the lease at the lessee's own expense, the department shall authorize a cash lease renewal at not less than \$15 an acre on the portion of the lease that has been improved.

(4) For all agricultural leases issued through competitive bidding provided for under 77-6-202 or 77-6-205, the department shall require ~~on any competitive bid greater than a one-third crop share a minimum annual guarantee of not less than \$15 an acre~~ applicants to submit bids in the form of dollars per acre and shall issue the successful bidder a cash lease at the rate established through competitive bidding. Upon expiration of the first 10-year term of the cash lease, the lease may be renewed on a crop share rental basis of not less than one-fourth of the annual crops to the state or the usual landlord's share prevailing in the district, whichever is greater.

(5) The department shall set annual hay prices based on round bales for agricultural leases under the jurisdiction of the regional land offices."

Section 3. Section 77-6-506, MCA, is amended to read:

"77-6-506. Date when rental due -- penalty -- cancellation for nonpayment. (1) For a grazing lease, for the grazing portion of a lease containing both agricultural and grazing land, and for agricultural leases not based on a crop share, the grazing rental for the first year of the lease must be paid at or before the time of

the execution of the lease; however, in the case of a lease that takes effect on and after October 1 and before the expiration of the coming February, both the rental for the fractional year and for the next full year beginning March 1 must be paid and collected at the time of issuing the lease. If the United States is the lessee of state lands for grazing purposes, the rental is payable at the end of each year of the lease. The rental for each succeeding year on a lease issued after July 1, 1999, with the exception of a lease that involves the United States as the lessee, is due and payable before March 1. If the rental is not paid before March 1, a \$25 penalty must be imposed on the lessee. If the full rental and the \$25 penalty are not paid by April 1, the entire lease is canceled.

(2) For an agricultural lease and for the agricultural portion of a lease containing both grazing and agricultural land, when the rental is paid on a crop share basis, on a cash lease basis, or on a crop share/cash basis, the rental is due in cash on or before November 15 of the year in which the crop is harvested. If the rental is not paid on or before November 15 of the year of crop harvest, a \$25 penalty must be imposed on the lessee. If the full rental and the \$25 penalty are not paid on or before December 31 of the year in which the crop is harvested, the entire lease is canceled. The department may extend the deadline in writing. If the lessee does not make the rental payment by the date of extension, the entire lease is canceled. Any rental payment made after November 15 of the year in which the crop is harvested, including payment made after an extension of the deadline, must include the \$25 penalty.

(3) For all state land leases and licenses other than those described in subsections (1) and (2), the department shall impose a \$25 penalty for failure to make a rental payment by any deadline established by statute, by rule, or in the lease or license.

(4) At least 2 weeks prior to the final deadline for payment under subsection (1) or (2), the department shall send by certified mail to each lessee who has not made payment a letter notifying the lessee that the lease is canceled if payment and the \$25 penalty are not received by the final deadline. The notice must be sent to the lessee at the address given in the lease.

(5) When a lease is canceled under subsection (1) or (2), the department shall notify the lessee of the cancellation by letter at the address given in the lease.

(6) The department may, within 30 days of cancellation, reinstate a canceled agricultural, grazing, or other surface lease upon payment of the rental that is owing, plus a penalty not to exceed three times the

annual rental, except that a penalty imposed under this subsection may not be less than \$500.

(7) A canceled lease that is not reinstated must be made available for lease as provided in 77-6-202.

(8) The penalties collected pursuant to this section must be deposited into the same trust account as the rentals from the state land to which the penalties apply."

- END -

I hereby certify that the within bill,
HB 80, originated in the House.

Chief Clerk of the House

Speaker of the House

Signed this _____ day
of _____, 2025.

President of the Senate

Signed this _____ day
of _____, 2025.

HOUSE BILL NO. 80

INTRODUCED BY R. GREGG

BY REQUEST OF THE DEPARTMENT OF NATURAL RESOURCES AND CONSERVATION
AN ACT MODIFYING THE USE OF CASH BASIS FOR COMPETITIVE BIDDING FOR STATE LAND
AGRICULTURAL LEASES; AND AMENDING SECTIONS 77-6-203, 77-6-501, AND 77-6-506, MCA.”